NPTEL Online Certification Courses

Indian Institute of Technology Kharagpur

Foundation Course in Managerial Economics

Assignment- 5

TYPE OF QUESTION: MCQ

Number of questions: 10 **Total mark: 10 X 1 = 10**

QUESTION 1:

If the firms in an industry are price takers, then every firm in the industry faces a horizontal demand curve.

a. **True**
b. False

Correct Answer: a

Solution: In a perfectly competitive market, all firms are price takers and face horizontal demand curve.

QUESTION 2:

Final price and output decision making process of firms vary due to differences in their

a. Supply curves
b. Cost curves
c. **Market structure**
d. Demand curves

Correct Answer: c

Solution: Final price and output decision making process of firms depend on market structure.

QUESTION 3:

The competitive firm's supply curve is equal to

a. Its marginal cost
b. Portion of the marginal cost curve that lies above AFC
c. Portion of the marginal cost curve that lies above AVC
d. Portion of the marginal cost curve that lies above AC

Correct Answer: c

Solution: The competitive firm's supply curve is the portion of the marginal cost curve that lies above AVC.

QUESTION 4:

The following table is for a firm in a competitive market.

Quantity	Total Revenue
0	Rs0
1	Rs11
2	Rs22
3	Rs33
4	Rs44

The price of the firm is

a. Rs.22
b. Rs.11
c. Rs.33
d. Rs.44

Correct Answer: b

Solution: In competitive market, Price = Average revenue. So, for all cases above, average is 11.

QUESTION 5:

The following table is for a firm in a competitive market.

Quantity	Total Cost
0	Rs5
1	Rs8
2	Rs11
3	Rs14
4	Rs17

The fixed cost of the firm is

a. Rs8
b. Rs6
c. Rs5
d. Rs7

Correct Answer: a

Solution: Total cost = Fixed cost + variable cost. When quantity is zero, variable cost is zero; there is only fixed cost.

QUESTION 6:

If profit maximizing firms in a perfectly competitive industry are producing 14,000 units per day, but can only sell 12,000 units per day at the current market price of $23, then the market equilibrium price must be greater than $23.

a. True
b. **False**

Correct Answer: b

Solution: In a perfectly competitive industry, all firms are price takers. So, market price can not be greater than $23.

QUESTION 7:

The condition for a firm's shut-down in short run if

a. Price is greater than average fixed cost.
b. Price is greater than marginal cost.
c. Price is less than average variable cost.
d. Price is less than average fixed cost.

Correct Answer: c

Solution: In short run, a firm will shut down if price is less than average variable cost.

QUESTION 8:

If a competitive firm is selling 50 units of its product at a price of Rs8 per unit and earning a loss, then

a. its marginal revenue is less than Rs8.
b. its average revenue is greater than Rs8.
c. its total cost is more than Rs400.
d. its total cost is less than Rs400.

Correct Answer: c

Solution: Since the competitive firm is earning loss, total revenue should be less than total cost. Here the total revenue is Rs400, implies that total cost is greater than Rs400.

QUESTION 9:

The pre-necessary condition for a firm's exit in long run if

a. Price is greater than average total cost.
b. Price is greater than marginal cost.
c. Price is less than average fixed cost.
d. Price is less than average total cost.

Correct Answer: d

Solution: A firm will exit in long run if price is less than average total cost.

QUESTION 10:

Suppose a firm in a competitive market earned Rs135 in total revenue and had a marginal revenue of Rs15 for the last unit produced and sold. What is the average revenue per unit, and how many units were sold?

a. Rs10 and 7 units.
b. Rs25 and 8 units.
c. Rs15 and 9 units.
d. Rs20 and 6 units.

Correct Answer: b

Solution: In perfectly competitive market, price =MR=15=AR. Units = 135/15=9.

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